

Share one cost once

Exercise A / Choose a product, a period and a reason for dividing each shared bill.

All amounts and work records are invented for practice. They are not local prices or recommended wages. Each bill below belongs to practice cycle A. All listed cash bills were paid in this cycle.



Illustrated context only; the cards supply the exercise evidence.

Source card	Allocation evidence	Carrots	Second crop
A01 / Materials used R96.00	Carrots only	R _____	R _____
A02 / Packaging used R24.00	Carrots only	R _____	R _____
A03 / Materials used R144.00	Second crop only	R _____	R _____
A04 / Packaging used R36.00	Second crop only	R _____	R _____
A05 / Equipment hire R120.00	recorded equipment hours: carrots 2; other 4	R _____	R _____
A06 / Shared market trip R90.00	equal-size crate spaces used: carrots 2; other 1	R _____	R _____

Add assigned paid costs: carrots R _____; second crop R _____.
Combined R _____. Does that equal the total of the six source cards?

Explain why the hire bill and market trip use different allocation records. What would you do if a usage record were missing?

Name the unit and the costs

Exercise A continued / A marketable kilogram and a kilogram sold are different quantities.

Carry forward the two assigned cash totals from page 1. Family members were not paid for the work below. For this exercise only, compare their time at **R25.00/hour**. This is not a wage recommendation.

Product	Unpaid hours	Time comparison value	Cash actually paid
Carrots	4	R _____	R0.00
Second crop	6	R _____	R0.00

Carrot costs including this time comparison: R _____.

Explain why this amount is not another cash payment.

The practice carrot batch has **40 kg marketable**. Only **32 kg is expected to sell**. No area or yield prediction is supplied.

Calculation	Quantity to divide by	Your result
Assigned paid carrot costs per marketable kg	40 kg	R _____ / kg
With time comparison per marketable kg	40 kg	R _____ / kg
Recover those included costs through expected sales	32 kg	R _____ / kg sold

The last answer is a sales-recovery target for this budget, not inventory valuation or a guaranteed buyer price. Explain what you still need to know about the produce that has not sold.

Missing for full profit: land, owned-equipment use, general administration, finance costs and tax. Name one missing source you would seek.

Can the plan break even?

Exercise B / A separate model: do not carry forward the carrot budget.

Each unit is one 1 kg pack prepared **and sold**. All packs prepared are sold in this model. Price and variable cost stay constant; included fixed costs do not change within the stated capacity. No unsold-stock or tax calculation is supplied.

Model input	Supplied practice value
Included fixed costs for this cycle	R105.00
Included variable cost per pack	R7.50
Selling price per pack	R12.00
Capacity	30 whole packs

1. Price minus variable cost = contribution per pack: R _____.
2. Fixed costs divided by contribution = _____ packs.
3. Round up to whole packs: _____. Is that within capacity? _____.

Check by multiplying. Result = sales value minus variable costs minus fixed costs.

Packs prepared and sold	Sales value	Total variable cost	Model result
23	R _____	R _____	R _____
24	R _____	R _____	R _____
30	R _____	R _____	R _____
18	R _____	R _____	R _____

What changes? If capacity is only 20 packs, can the original break-even sales be achieved? If price falls to R7.50, will selling more cover the positive fixed costs?

If the variable-cost card is missing, write what is unknown. Do not enter zero. These results cover only the stated model, not full farm profit.

Compare the whole offer

Exercise C / Choose one buyer for the same produce. The offers are alternatives.

Both buyers accept the same **20 kg** of the same quality. Common costs already incurred are **R140.00**. Extra selling work below is unpaid; its separate comparison value is R25.00/hour.

Offer terms	Buyer A	Buyer B
Price per kg	R10.00	R12.00
Extra delivery paid by grower	R0.00	R35.00
Extra packaging paid by grower	R0.00	R10.00
Additional family selling hours	0.5	1.5
Payment promised	Day 0 (today)	Day 7

Calculate for each offer	C01	C02
Sales value	R _____	R _____
Less extra delivery and packaging	R _____	R _____
Left after those cash costs	R _____	R _____
Left after the common cost as well	R _____	R _____
Additional family-time comparison	R _____	R _____
Left after that time value as well	R _____	R _____

Which offer does this evidence favour, and why? Name a fact you would confirm before agreeing. A payment promise is not cash received.

These are partial management comparisons, not full profit. Do not record both alternative offers as completed sales.

Try a fresh set of decisions

Independent attempt / Explain the answer. You may use a calculator or answer aloud.

1 / Share a bill. A R75.00 hire bill served one activity for 1 hour and another for 2 hours. Divide it. Show that the shares still equal the original bill.

2 / Check capacity. Fixed costs R80.00; price R10.00/pack; variable cost R6.00/pack; capacity 18 packs. Use Exercise B's assumptions. Find break-even packs and the result at capacity. What prevents the plan from reaching break-even?

3 / Name the denominator. Included cost R6.00; selling price R7.50. Find the difference, markup on cost and margin on selling price. Explain why they are not the same percentage.

4 / Leave the unknown visible. For the same 10 kg, one buyer collects at R10.00/kg. Another offers R12.00/kg but delivery cost is missing. At what delivery charge do the cash results tie? Can you rank them yet?

5 / Transfer to your own evidence. A buyer quotes per crate but gives no weight. What must you check before comparing a per-kg offer? Name one dated source you would bring to a future price discussion.

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